

COMMITTEE ON FINANCE
SENATE AMENDMENTS TO S.B. 1516
(Reference to printed bill)

1 Strike everything after the enacting clause and insert:

2 "Section 1. Section 42-5061, Arizona Revised Statutes, is amended
3 to read:

4 ~~42-5061.~~ Retail classification; definitions

5 A. The retail classification is comprised of the business of
6 selling tangible personal property at retail. The tax base for the retail
7 classification is the gross proceeds of sales or gross income derived from
8 the business. The tax imposed on the retail classification does not apply
9 to the gross proceeds of sales or gross income from:

10 1. Professional or personal service occupations or businesses that
11 involve sales or transfers of tangible personal property only as
12 inconsequential elements.

13 2. Services rendered in addition to selling tangible personal
14 property at retail.

15 3. Sales of warranty or service contracts. The storage, use or
16 consumption of tangible personal property provided under the conditions of
17 such contracts is subject to tax under section 42-5156.

18 4. Sales of tangible personal property by any nonprofit
19 organization organized and operated exclusively for charitable purposes
20 and recognized by the United States internal revenue service under section
21 501(c)(3) of the internal revenue code.

22 5. Sales to persons engaged in business classified under the
23 restaurant classification of articles used by human beings for food, drink
24 or condiment, whether simple, mixed or compounded.

25 6. Business activity that is properly included in any other
26 business classification that is taxable under this article.

27 7. The sale of stocks and bonds.

28 8. Drugs and medical oxygen, including delivery hose, mask or tent,
29 regulator and tank, if prescribed by a member of the medical, dental or
30 veterinarian profession who is licensed by law to administer such
31 substances.

32 9. Prosthetic appliances as defined in section 23-501 and as
33 prescribed or recommended by a health professional who is licensed
34 pursuant to title 32, chapter 7, 8, 11, 13, 14, 15, 16, 17 or 29.

35 10. Insulin, insulin syringes and glucose test strips.

36 11. Prescription eyeglasses or contact lenses.

37 12. Hearing aids as defined in section 36-1901.

38 13. Durable medical equipment that has a centers for medicare and
39 medicaid services common procedure code, is designated reimbursable by
40 medicare, is prescribed by a person who is licensed under title 32,
41 chapter 7, 8, 13, 14, 15, 17 or 29, can withstand repeated use, is
42 primarily and customarily used to serve a medical purpose, is generally

1 not useful to a person in the absence of illness or injury and is
2 appropriate for use in the home.

3 14. Sales of motor vehicles to nonresidents of this state for use
4 outside this state if either of the following applies:

5 (a) The motor vehicle dealer ships or delivers the motor vehicle to
6 a destination out of this state.

7 (b) The vehicle, trailer or semitrailer has a gross vehicle weight
8 rating of more than ten thousand pounds, is used or maintained to
9 transport property in the furtherance of interstate commerce and otherwise
10 meets the definition of commercial motor vehicle as defined in section
11 28-5201.

12 15. Food, as provided in and subject to the conditions of article 3
13 of this chapter and sections 42-5074 and 42-6017.

14 16. Items purchased with United States department of agriculture
15 coupons issued under the supplemental nutrition assistance program
16 pursuant to the food and nutrition act of 2008 (P.L. 88-525; 78 Stat. 703;
17 7 United States Code sections 2011 through 2036b) by the United States
18 department of agriculture food and nutrition service or food instruments
19 issued under section 17 of the child nutrition act (P.L. 95-627;
20 92 Stat. 3603; P.L. 99-661, section 4302; P.L. 111-296; 42 United States
21 Code section 1786).

22 17. Textbooks by any bookstore that are required by any state
23 university or community college.

24 18. Food and drink to a person that is engaged in a business that
25 is classified under the restaurant classification and that provides such
26 food and drink without monetary charge to its employees for their own
27 consumption on the premises during the employees' hours of employment.

28 19. Articles of food, drink or condiment and accessory tangible
29 personal property to a school district or charter school if such articles
30 and accessory tangible personal property are to be prepared and served to
31 persons for consumption on the premises of a public school within the
32 district or on the premises of the charter school during school hours.

33 20. Lottery tickets or shares pursuant to title 5, chapter 5.1,
34 article 2.

35 21. The sale of cash equivalents and the sale of precious metal
36 bullion and monetized bullion to the ultimate consumer, but the sale of
37 coins or other forms of money for manufacture into jewelry or works of art
38 is subject to the tax and the gross proceeds of sales or gross income
39 derived from the redemption of any cash equivalent by the holder as a
40 means of payment for goods or services that are taxable under this article
41 is subject to the tax. For the purposes of this paragraph:

42 (a) "Cash equivalents" means items or intangibles, whether or not
43 negotiable, that are sold to one or more persons, through which a value
44 denominated in money is purchased in advance and may be redeemed in full
45 or in part for tangible personal property, intangibles or services. Cash
46 equivalents include gift cards, stored value cards, gift certificates,
47 vouchers, traveler's checks, money orders or other instruments, orders or
48 electronic mechanisms, such as an electronic code, personal identification
49 number or digital payment mechanism, or any other prepaid intangible right

1 to acquire tangible personal property, intangibles or services in the
2 future, whether from the seller of the cash equivalent or from another
3 person. Cash equivalents do not include either of the following:

4 (i) Items or intangibles that are sold to one or more persons,
5 through which a value is not denominated in money.

6 (ii) Prepaid calling cards or prepaid authorization numbers for
7 telecommunications services made taxable by subsection P of this section.

8 (b) "Monetized bullion" means coins and other forms of money that
9 are manufactured from gold, silver or other metals and that have been or
10 are used as a medium of exchange in this or another state, the United
11 States or a foreign nation.

12 (c) "Precious metal bullion" means precious metal, including gold,
13 silver, platinum, rhodium and palladium, that has been smelted or refined
14 so that its value depends on its contents and not on its form.

15 22. Motor vehicle fuel and use fuel that are subject to a tax
16 imposed under title 28, chapter 16, article 1, sales of use fuel to a
17 holder of a valid single trip use fuel tax permit issued under section
18 28-5739, sales of aviation fuel that are subject to the tax imposed under
19 section 28-8344 and sales of jet fuel that are subject to the tax imposed
20 under article 8 of this chapter.

21 23. Tangible personal property sold to a person engaged in the
22 business of leasing or renting such property under the personal property
23 rental classification if such property is to be leased or rented by such
24 person.

25 24. Tangible personal property sold in interstate or foreign
26 commerce if prohibited from being so taxed by the constitution of the
27 United States or the constitution of this state.

28 25. Tangible personal property sold to:

29 (a) A qualifying hospital as defined in section 42-5001.

30 (b) A qualifying health care organization as defined in section
31 42-5001 if the tangible personal property is used by the organization
32 solely to provide health and medical related educational and charitable
33 services.

34 (c) A qualifying health care organization as defined in section
35 42-5001 if the organization is dedicated to providing educational,
36 therapeutic, rehabilitative and family medical education training for
37 blind and visually impaired children and children with multiple
38 disabilities from the time of birth to age twenty-one.

39 (d) A qualifying community health center as defined in section
40 42-5001.

41 (e) A nonprofit charitable organization that has qualified under
42 section 501(c)(3) of the internal revenue code and that regularly serves
43 meals to the needy and indigent on a continuing basis at no cost.

44 (f) For taxable periods beginning from and after June 30, 2001, a
45 nonprofit charitable organization that has qualified under section
46 501(c)(3) of the internal revenue code and that provides residential
47 apartment housing for low-income persons over sixty-two years of age in a
48 facility that qualifies for a federal housing subsidy, if the tangible
49 personal property is used by the organization solely to provide

1 residential apartment housing for low-income persons over sixty-two years
2 of age in a facility that qualifies for a federal housing subsidy.

3 (g) A qualifying health sciences educational institution as defined
4 in section 42-5001.

5 (h) Any person representing or working on behalf of another person
6 described in subdivisions (a) through (g) of this paragraph if the
7 tangible personal property is incorporated or fabricated into a project
8 described in section 42-5075, subsection P.

9 26. Magazines or other periodicals or other publications by this
10 state to encourage tourist travel.

11 27. Tangible personal property sold to:

12 (a) A person that is subject to tax under this article by reason of
13 being engaged in business classified under section 42-5075 or to a
14 subcontractor working under the control of a person engaged in business
15 classified under section 42-5075, if the property so sold is any of the
16 following:

17 (i) Incorporated or fabricated by the person into any real
18 property, structure, project, development or improvement as part of the
19 business.

20 (ii) Incorporated or fabricated by the person into any project
21 described in section 42-5075, subsection P.

22 (iii) Used in environmental response or remediation activities
23 under section 42-5075, subsection B, paragraph 6.

24 (b) A person that is not subject to tax under section 42-5075 and
25 that has been provided a copy of a certificate under section 42-5009,
26 subsection L, if the property so sold is incorporated or fabricated by the
27 person into the real property, structure, project, development or
28 improvement described in the certificate.

29 28. The sale of a motor vehicle to a nonresident of this state if
30 the purchaser's state of residence does not allow a corresponding use tax
31 exemption to the tax imposed by article 1 of this chapter and if the
32 nonresident has secured a special ninety day nonresident registration
33 permit for the vehicle as prescribed by sections 28-2154 and 28-2154.01.

34 29. Tangible personal property purchased in this state by a
35 nonprofit charitable organization that has qualified under section
36 501(c)(3) of the United States internal revenue code and that engages in
37 and uses such property exclusively in programs for persons with mental or
38 physical disabilities if the programs are exclusively for training, job
39 placement, rehabilitation or testing.

40 30. Sales of tangible personal property by a nonprofit organization
41 that is exempt from taxation under section 501(c)(3), 501(c)(4) or
42 501(c)(6) of the internal revenue code if the organization is associated
43 with a major league baseball team or a national touring professional
44 golfing association and no part of the organization's net earnings inures
45 to the benefit of any private shareholder or individual. This paragraph
46 does not apply to an organization that is owned, managed or controlled, in
47 whole or in part, by a major league baseball team, or its owners,
48 officers, employees or agents, or by a major league baseball association
49 or professional golfing association, or its owners, officers, employees or

1 agents, unless the organization conducted or operated exhibition events in
2 this state before January 1, 2018 that were exempt from taxation under
3 section 42-5073.

4 31. Sales of commodities, as defined by title 7 United States Code
5 section 2, that are consigned for resale in a warehouse in this state in
6 or from which the commodity is deliverable on a contract for future
7 delivery subject to the rules of a commodity market regulated by the
8 United States commodity futures trading commission.

9 32. Sales of tangible personal property by a nonprofit organization
10 that is exempt from taxation under section 501(c)(3), 501(c)(4),
11 501(c)(6), 501(c)(7) or 501(c)(8) of the internal revenue code if the
12 organization sponsors or operates a rodeo featuring primarily farm and
13 ranch animals and no part of the organization's net earnings inures to the
14 benefit of any private shareholder or individual.

15 33. Sales of propagative materials to persons who use those items
16 to commercially produce agricultural, horticultural, viticultural or
17 floricultural crops in this state. For the purposes of this paragraph,
18 "propagative materials":

19 (a) Includes seeds, seedlings, roots, bulbs, liners, transplants,
20 cuttings, soil and plant additives, agricultural minerals, auxiliary soil
21 and plant substances, micronutrients, fertilizers, insecticides,
22 herbicides, fungicides, soil fumigants, desiccants, rodenticides,
23 adjuvants, plant nutrients and plant growth regulators.

24 (b) Except for use in commercially producing industrial hemp as
25 defined in section 3-311, does not include any propagative materials used
26 in producing any part, including seeds, of any plant of the genus
27 cannabis.

28 34. Machinery, equipment, technology or related supplies that are
29 only useful to assist a person with a physical disability as defined in
30 section 46-191 or a person who has a developmental disability as defined
31 in section 36-551 or has a head injury as defined in section 41-3201 to be
32 more independent and functional.

33 35. Sales of natural gas or liquefied petroleum gas used to propel
34 a motor vehicle.

35 36. Paper machine clothing, such as forming fabrics and dryer
36 felts, sold to a paper manufacturer and directly used or consumed in paper
37 manufacturing.

38 37. Coal, petroleum, coke, natural gas, virgin fuel oil and
39 electricity sold to a qualified environmental technology manufacturer,
40 producer or processor as defined in section 41-1514.02 and directly used
41 or consumed in generating or providing on-site power or energy solely for
42 environmental technology manufacturing, producing or processing or
43 environmental protection. This paragraph applies for twenty full
44 consecutive calendar or fiscal years from the date the first paper
45 manufacturing machine is placed in service. In the case of an
46 environmental technology manufacturer, producer or processor that does not
47 manufacture paper, the time period begins with the date the first
48 manufacturing, processing or production equipment is placed in service.

1 38. Sales of liquid, solid or gaseous chemicals used in
2 manufacturing, processing, fabricating, mining, refining, metallurgical
3 operations, research and development and, beginning on January 1, 1999,
4 printing, if using or consuming the chemicals, alone or as part of an
5 integrated system of chemicals, involves direct contact with the materials
6 from which the product is produced for the purpose of causing or allowing
7 a chemical or physical change to occur in the materials as part of the
8 production process. This paragraph does not include chemicals that are
9 used or consumed in activities such as packaging, storage or
10 transportation but does not affect any deduction for such chemicals that
11 is otherwise provided by this section. For the purposes of this
12 paragraph, "printing" means a commercial printing operation and includes
13 job printing, engraving, embossing, copying and bookbinding.

14 39. Through December 31, 1994, personal property liquidation
15 transactions, conducted by a personal property liquidator. From and after
16 December 31, 1994, personal property liquidation transactions shall be
17 taxable under this section provided that nothing in this subsection shall
18 be construed to authorize the taxation of casual activities or
19 transactions under this chapter. For the purposes of this paragraph:

20 (a) "Personal property liquidation transaction" means a sale of
21 personal property made by a personal property liquidator acting solely on
22 behalf of the owner of the personal property sold at the dwelling of the
23 owner or on the death of any owner, on behalf of the surviving spouse, if
24 any, any devisee or heir or the personal representative of the estate of
25 the deceased, if one has been appointed.

26 (b) "Personal property liquidator" means a person who is retained
27 to conduct a sale in a personal property liquidation transaction.

28 40. Sales of food, drink and condiment for consumption within the
29 premises of any prison, jail or other institution under the jurisdiction
30 of the state department of corrections, the department of public safety,
31 the department of juvenile corrections or a county sheriff.

32 41. A motor vehicle and any repair and replacement parts and
33 tangible personal property becoming a part of such motor vehicle sold to a
34 motor carrier that is subject to a fee prescribed in title 28, chapter 16,
35 article 4 and that is engaged in the business of leasing or renting such
36 property.

37 42. Sales of:

38 (a) Livestock and poultry to persons engaging in the businesses of
39 farming, ranching or producing livestock or poultry.

40 (b) Livestock and poultry feed, salts, vitamins and other additives
41 for livestock or poultry consumption that are sold to persons for use or
42 consumption by their own livestock or poultry, for use or consumption in
43 the businesses of farming, ranching and producing or feeding livestock,
44 poultry, or livestock or poultry products or for use or consumption in
45 noncommercial boarding of livestock. For the purposes of this paragraph,
46 "poultry" includes ratites.

47 43. Sales of implants used as growth promotants and injectable
48 medicines, not already exempt under paragraph 8 of this subsection, for
49 livestock or poultry owned by or in possession of persons that are engaged

1 in producing livestock, poultry, or livestock or poultry products or that
2 are engaged in feeding livestock or poultry commercially. For the
3 purposes of this paragraph, "poultry" includes ratites.

4 44. Sales of motor vehicles at auction to nonresidents of this
5 state for use outside this state if the vehicles are shipped or delivered
6 out of this state, regardless of where title to the motor vehicles passes
7 or its free on board point.

8 45. Tangible personal property sold to a person engaged in business
9 and subject to tax under the transient lodging classification if the
10 tangible personal property is a personal hygiene item or articles used by
11 human beings for food, drink or condiment, except alcoholic beverages,
12 that are furnished without additional charge to and intended to be
13 consumed by the transient during the transient's occupancy.

14 46. Sales of alternative fuel, as defined in section 1-215, to a
15 used oil fuel burner who has received a permit to burn used oil or used
16 oil fuel under section 49-426 or 49-480.

17 47. Sales of materials that are purchased by or for publicly funded
18 libraries, including school district libraries, charter school libraries,
19 community college libraries, state university libraries or federal, state,
20 county or municipal libraries, for use by the public as follows:

21 (a) Printed or photographic materials, beginning August 7, 1985.

22 (b) Electronic or digital media materials, beginning July 17, 1994.

23 48. Tangible personal property sold to a commercial airline and
24 consisting of food, beverages and condiments and accessories used for
25 serving the food and beverages, if those items are to be provided without
26 additional charge to passengers for consumption in flight. For the
27 purposes of this paragraph, "commercial airline" means a person holding a
28 federal certificate of public convenience and necessity or foreign air
29 carrier permit for air transportation to transport persons, property or
30 United States mail in intrastate, interstate or foreign commerce.

31 49. Sales of alternative fuel vehicles if the vehicle was
32 manufactured as a diesel fuel vehicle and converted to operate on
33 alternative fuel and equipment that is installed in a conventional diesel
34 fuel motor vehicle to convert the vehicle to operate on an alternative
35 fuel, as defined in section 1-215.

36 50. Sales of any spirituous, vinous or malt liquor by a person that
37 is licensed in this state as a wholesaler by the department of liquor
38 licenses and control pursuant to title 4, chapter 2, article 1.

39 51. Sales of tangible personal property to be incorporated or
40 installed as part of environmental response or remediation activities
41 under section 42-5075, subsection B, paragraph 6.

42 52. Sales of tangible personal property by a nonprofit organization
43 that is exempt from taxation under section 501(c)(6) of the internal
44 revenue code if the organization produces, organizes or promotes cultural
45 or civic related festivals or events and no part of the organization's net
46 earnings inures to the benefit of any private shareholder or individual.

47 53. Application services that are designed to assess or test
48 student learning or to promote curriculum design or enhancement purchased

1 by or for any school district, charter school, community college or state
2 university. For the purposes of this paragraph:

3 (a) "Application services" means software applications provided
4 remotely using hypertext transfer protocol or another network protocol.

5 (b) "Curriculum design or enhancement" means planning, implementing
6 or reporting on courses of study, lessons, assignments or other learning
7 activities.

8 54. Sales of motor vehicle fuel and use fuel to a qualified
9 business under section 41-1516 for off-road use in harvesting, processing
10 or transporting qualifying forest products removed from qualifying
11 projects as defined in section 41-1516.

12 55. Sales of repair parts installed in equipment used directly by a
13 qualified business under section 41-1516 in harvesting, processing or
14 transporting qualifying forest products removed from qualifying projects
15 as defined in section 41-1516.

16 56. Sales or other transfers of renewable energy credits or any
17 other unit created to track energy derived from renewable energy
18 resources. For the purposes of this paragraph, "renewable energy credit"
19 means a unit created administratively by the corporation commission or
20 governing body of a public power utility to track kilowatt hours of
21 electricity derived from a renewable energy resource or the kilowatt hour
22 equivalent of conventional energy resources displaced by distributed
23 renewable energy resources.

24 57. Orthodontic devices dispensed by a dental professional who is
25 licensed under title 32, chapter 11 to a patient as part of the practice
26 of dentistry.

27 58. Sales of tangible personal property incorporated or fabricated
28 into a project described in section 42-5075, subsection P, that is located
29 within the exterior boundaries of an Indian reservation for which the
30 owner, as defined in section 42-5075, of the project is an Indian tribe or
31 an affiliated Indian. For the purposes of this paragraph:

32 (a) "Affiliated Indian" means an individual Native American Indian
33 who is duly registered on the tribal rolls of the Indian tribe for whose
34 benefit the Indian reservation was established.

35 (b) "Indian reservation" means all lands that are within the limits
36 of areas set aside by the United States for the exclusive use and
37 occupancy of an Indian tribe by treaty, law or executive order and that
38 are recognized as Indian reservations by the United States department of
39 the interior.

40 (c) "Indian tribe" means any organized nation, tribe, band or
41 community that is recognized as an Indian tribe by the United States
42 department of the interior and includes any entity formed under the laws
43 of the Indian tribe.

44 59. Sales of works of fine art, as defined in section 44-1771, at
45 an art auction or gallery in this state to nonresidents of this state for
46 use outside this state if the vendor ships or delivers the work of fine
47 art to a destination outside this state.

48 60. Sales of tangible personal property by a marketplace seller
49 that are facilitated by a marketplace facilitator in which the marketplace

1 facilitator has remitted or will remit the applicable tax to the
2 department pursuant to section 42-5014.

3 B. In addition to the deductions from the tax base prescribed by
4 subsection A of this section, the gross proceeds of sales or gross income
5 derived from sales of the following categories of tangible personal
6 property shall be deducted from the tax base:

7 1. Machinery, or equipment, used directly in manufacturing,
8 processing, fabricating, job printing, refining or metallurgical
9 operations. The terms "manufacturing", "processing", "fabricating", "job
10 printing", "refining" and "metallurgical" as used in this paragraph refer
11 to and include those operations commonly understood within their ordinary
12 meaning. "Metallurgical operations" includes leaching, milling,
13 precipitating, smelting and refining.

14 2. Mining machinery, or equipment, used directly in the process of
15 extracting ores or minerals from the earth for commercial purposes,
16 including equipment required to prepare the materials for extraction and
17 handling, loading or transporting such extracted material to the surface.
18 "Mining" includes underground, surface and open pit operations for
19 extracting ores and minerals.

20 3. Tangible personal property sold to persons engaged in business
21 classified under the telecommunications classification, including a person
22 representing or working on behalf of such a person in a manner described
23 in section 42-5075, subsection P, and consisting of central office
24 switching equipment, switchboards, private branch exchange equipment,
25 microwave radio equipment and carrier equipment including optical fiber,
26 coaxial cable and other transmission media that are components of carrier
27 systems.

28 4. Machinery, equipment or transmission lines used directly in
29 producing or transmitting electrical power, but not including
30 distribution. Transformers and control equipment used at transmission
31 substation sites constitute equipment used in producing or transmitting
32 electrical power.

33 5. Machinery and equipment used directly for energy storage for
34 later electrical use. For the purposes of this paragraph:

35 (a) "Electric utility scale" means a person that is engaged in a
36 business activity described in section 42-5063, subsection A or such
37 person's equipment or wholesale electricity suppliers.

38 (b) "Energy storage" means commercially available technology for
39 electric utility scale that is capable of absorbing energy, storing energy
40 for a period of time and thereafter dispatching the energy and that uses
41 mechanical, chemical or thermal processes to store energy.

42 (c) "Machinery and equipment used directly" means all machinery and
43 equipment that are used for electric energy storage from the point of
44 receipt of such energy in order to facilitate storage of the electric
45 energy to the point where the electric energy is released.

46 6. Neat animals, horses, asses, sheep, ratites, swine or goats used
47 or to be used as breeding or production stock, including sales of
48 breedings or ownership shares in such animals used for breeding or
49 production.

1 7. Pipes or valves four inches in diameter or larger used to
2 transport oil, natural gas, artificial gas, water, wastewater or coal
3 slurry, including compressor units, regulators, machinery and equipment,
4 fittings, seals and any other part that is used in operating the pipes or
5 valves.

6 8. Aircraft, navigational and communication instruments and other
7 accessories and related equipment sold to:

8 (a) A person:

9 (i) Holding, or exempted by federal law from obtaining, a federal
10 certificate of public convenience and necessity for use as, in conjunction
11 with or becoming part of an aircraft to be used to transport persons for
12 hire in intrastate, interstate or foreign commerce.

13 (ii) That is certificated or licensed under federal aviation
14 administration regulations (14 Code of Federal Regulations part 121 or
15 135) as a scheduled or unscheduled carrier of persons for hire for use as
16 or in conjunction with or becoming part of an aircraft to be used to
17 transport persons for hire in intrastate, interstate or foreign commerce.

18 (iii) Holding a foreign air carrier permit for air transportation
19 for use as or in conjunction with or becoming a part of aircraft to be
20 used to transport persons, property or United States mail in intrastate,
21 interstate or foreign commerce.

22 (iv) Operating an aircraft to transport persons in any manner for
23 compensation or hire, or for use in a fractional ownership program that
24 meets the requirements of federal aviation administration regulations
25 (14 Code of Federal Regulations part 91, subpart K), including as an air
26 carrier, a foreign air carrier or a commercial operator or under a
27 restricted category, within the meaning of 14 Code of Federal Regulations,
28 regardless of whether the operation or aircraft is regulated or certified
29 under part 91, 119, 121, 133, 135, 136 or 137, or another part of 14 Code
30 of Federal Regulations.

31 (v) That will lease or otherwise transfer operational control,
32 within the meaning of federal aviation administration operations
33 specification A008, or its successor, of the aircraft, instruments or
34 accessories to one or more persons described in item (i), (ii), (iii) or
35 (iv) of this subdivision, subject to section 42-5009, subsection Q.

36 (b) Any foreign government.

37 (c) Persons who are not residents of this state and who will not
38 use such property in this state other than in removing such property from
39 this state. This subdivision also applies to corporations that are not
40 incorporated in this state, regardless of maintaining a place of business
41 in this state, if the principal corporate office is located outside this
42 state and the property will not be used in this state other than in
43 removing the property from this state.

44 (d) PERSONS THAT WILL USE THE PROPERTY FOR MAINTAINING, REPAIRING
45 OR OVERHAULING GENERAL AVIATION AIRCRAFT.

46 9. Machinery, tools, equipment and related supplies used or
47 consumed directly in repairing, remodeling or maintaining aircraft,
48 aircraft engines or aircraft component parts ~~by or on behalf of a~~
49 ~~certificated or licensed carrier of persons or property.~~

1 10. Railroad rolling stock, rails, ties and signal control
2 equipment used directly to transport persons or property.

3 11. Machinery or equipment used directly to drill for oil or gas or
4 used directly in the process of extracting oil or gas from the earth for
5 commercial purposes.

6 12. Buses or other urban mass transit vehicles that are used
7 directly to transport persons or property for hire or pursuant to a
8 governmentally adopted and controlled urban mass transportation program
9 and that are sold to bus companies holding a federal certificate of
10 convenience and necessity or operated by any city, town or other
11 governmental entity or by any person contracting with such governmental
12 entity as part of a governmentally adopted and controlled program to
13 provide urban mass transportation.

14 13. Groundwater measuring devices required under section 45-604.

15 14. Machinery and equipment consisting of agricultural aircraft,
16 tractors, off-highway vehicles, tractor-drawn implements, self-powered
17 implements, machinery and equipment necessary for extracting milk, and
18 machinery and equipment necessary for cooling milk and livestock, and drip
19 irrigation lines not already exempt under paragraph 7 of this subsection
20 and that are used for commercial production of agricultural,
21 horticultural, viticultural and floricultural crops and products in this
22 state. For the purposes of this paragraph:

23 (a) "Off-highway vehicles" means off-highway vehicles as defined in
24 section 28-1171 that are modified at the time of sale to function as a
25 tractor or to tow tractor-drawn implements and that are not equipped with
26 a modified exhaust system to increase horsepower or speed or an engine
27 that is more than one thousand cubic centimeters or that have a maximum
28 speed of fifty miles per hour or less.

29 (b) "Self-powered implements" includes machinery and equipment that
30 are electric-powered.

31 15. Machinery or equipment used in research and development. For
32 the purposes of this paragraph, "research and development" means basic and
33 applied research in the sciences and engineering, and designing,
34 developing or testing prototypes, processes or new products, including
35 research and development of computer software that is embedded in or an
36 integral part of the prototype or new product or that is required for
37 machinery or equipment otherwise exempt under this section to function
38 effectively. Research and development do not include manufacturing
39 quality control, routine consumer product testing, market research, sales
40 promotion, sales service, research in social sciences or psychology,
41 computer software research that is not included in the definition of
42 research and development, or other nontechnological activities or
43 technical services.

44 16. Tangible personal property that is used by either of the
45 following to receive, store, convert, produce, generate, decode, encode,
46 control or transmit telecommunications information:

47 (a) Any direct broadcast satellite television or data transmission
48 service that operates pursuant to 47 Code of Federal Regulations part 25.

1 (b) Any satellite television or data transmission facility, if both
2 of the following conditions are met:

3 (i) Over two-thirds of the transmissions, measured in megabytes,
4 transmitted by the facility during the test period were transmitted to or
5 on behalf of one or more direct broadcast satellite television or data
6 transmission services that operate pursuant to 47 Code of Federal
7 Regulations part 25.

8 (ii) Over two-thirds of the transmissions, measured in megabytes,
9 transmitted by or on behalf of those direct broadcast television or data
10 transmission services during the test period were transmitted by the
11 facility to or on behalf of those services. For the purposes of
12 subdivision (b) of this paragraph, "test period" means the three hundred
13 sixty-five day period beginning on the later of the date on which the
14 tangible personal property is purchased or the date on which the direct
15 broadcast satellite television or data transmission service first
16 transmits information to its customers.

17 17. Clean rooms that are used for manufacturing, processing,
18 fabrication or research and development, as defined in paragraph 15 of
19 this subsection, of semiconductor products. For the purposes of this
20 paragraph, "clean room" means all property that comprises or creates an
21 environment where humidity, temperature, particulate matter and
22 contamination are precisely controlled within specified parameters,
23 without regard to whether the property is actually contained within that
24 environment or whether any of the property is affixed to or incorporated
25 into real property. Clean room:

26 (a) Includes the integrated systems, fixtures, piping, movable
27 partitions, lighting and all property that is necessary or adapted to
28 reduce contamination or to control airflow, temperature, humidity,
29 chemical purity or other environmental conditions or manufacturing
30 tolerances, as well as the production machinery and equipment operating in
31 conjunction with the clean room environment.

32 (b) Does not include the building or other permanent, nonremovable
33 component of the building that houses the clean room environment.

34 18. Machinery and equipment used directly in feeding poultry,
35 environmentally controlling housing for poultry, moving eggs within a
36 production and packaging facility or sorting or cooling eggs. This
37 exemption does not apply to vehicles used for transporting eggs.

38 19. Machinery or equipment, including related structural components
39 and containment structures, that is employed in connection with
40 manufacturing, processing, fabricating, job printing, refining, mining,
41 natural gas pipelines, metallurgical operations, telecommunications,
42 producing or transmitting electricity or research and development and that
43 is used directly to meet or exceed rules or regulations adopted by the
44 federal energy regulatory commission, the United States environmental
45 protection agency, the United States nuclear regulatory commission, the
46 Arizona department of environmental quality or a political subdivision of
47 this state to prevent, monitor, control or reduce land, water or air
48 pollution. For the purposes of this paragraph, "containment structure"

1 means a structure that prevents, monitors, controls or reduces noxious or
2 harmful discharge into the environment.

3 20. Machinery and equipment that are sold to a person engaged in
4 commercially producing livestock, livestock products or agricultural,
5 horticultural, viticultural or floricultural crops or products in this
6 state, including a person representing or working on behalf of such a
7 person in a manner described in section 42-5075, subsection P, if the
8 machinery and equipment are used directly and primarily to prevent,
9 monitor, control or reduce air, water or land pollution.

10 21. Machinery or equipment that enables a television station to
11 originate and broadcast or to receive and broadcast digital television
12 signals and that was purchased to facilitate compliance with the
13 telecommunications act of 1996 (P.L. 104-104; 110 Stat. 56; 47 United
14 States Code section 336) and the federal communications commission order
15 issued April 21, 1997 (47 Code of Federal Regulations part 73). This
16 paragraph does not exempt any of the following:

17 (a) Repair or replacement parts purchased for the machinery or
18 equipment described in this paragraph.

19 (b) Machinery or equipment purchased to replace machinery or
20 equipment for which an exemption was previously claimed and taken under
21 this paragraph.

22 (c) Any machinery or equipment purchased after the television
23 station has ceased analog broadcasting, or purchased after November 1,
24 2009, whichever occurs first.

25 22. Qualifying equipment that is purchased from and after June 30,
26 2004 through December 31, 2028 by a qualified business under section
27 41-1516 for harvesting or processing qualifying forest products removed
28 from qualifying projects as defined in section 41-1516. To qualify for
29 this deduction, the qualified business at the time of purchase must
30 present its certification approved by the department.

31 23. Computer data center equipment sold to the owner, operator or
32 qualified colocation tenant of a computer data center that is certified by
33 the Arizona commerce authority under section 41-1519 or an authorized
34 agent of the owner, operator or qualified colocation tenant during the
35 qualification period for use in the qualified computer data center. For
36 the purposes of this paragraph, "computer data center", "computer data
37 center equipment", "qualification period" and "qualified colocation
38 tenant" have the same meanings prescribed in section 41-1519.

39 C. The deductions provided by subsection B of this section do not
40 include sales of:

41 1. Expendable materials. For the purposes of this paragraph,
42 expendable materials do not include any of the categories of tangible
43 personal property specified in subsection B of this section regardless of
44 the cost or useful life of that property.

45 2. Janitorial equipment and hand tools.

46 3. Office equipment, furniture and supplies.

47 4. Tangible personal property used in selling or distributing
48 activities, other than the telecommunications transmissions described in
49 subsection B, paragraph 16 of this section.

1 5. Motor vehicles required to be licensed by this state, except
2 buses or other urban mass transit vehicles specifically exempted pursuant
3 to subsection B, paragraph 12 of this section, without regard to the use
4 of such motor vehicles.

5 6. Shops, buildings, docks, depots and all other materials of
6 whatever kind or character not specifically included as exempt.

7 7. Motors and pumps used in drip irrigation systems.

8 8. Machinery and equipment or other tangible personal property used
9 by a contractor in performing a contract.

10 D. In addition to the deductions from the tax base prescribed by
11 subsection A of this section, there shall be deducted from the tax base
12 the gross proceeds of sales or gross income derived from sales of
13 machinery, equipment, materials and other tangible personal property used
14 directly and predominantly to construct a qualified environmental
15 technology manufacturing, producing or processing facility as described in
16 section 41-1514.02. This subsection applies for ten full consecutive
17 calendar or fiscal years after the start of initial construction.

18 E. In computing the tax base, gross proceeds of sales or gross
19 income from retail sales of heavy trucks and trailers does not include any
20 amount attributable to federal excise taxes imposed by 26 United States
21 Code section 4051.

22 F. If a person is engaged in an occupation or business to which
23 subsection A of this section applies, the person's books shall be kept so
24 as to show separately the gross proceeds of sales of tangible personal
25 property and the gross income from sales of services, and if not so kept
26 the tax shall be imposed on the total of the person's gross proceeds of
27 sales of tangible personal property and gross income from services.

28 G. If a person is engaged in the business of selling tangible
29 personal property at both wholesale and retail, the tax under this section
30 applies only to the gross proceeds of the sales made other than at
31 wholesale if the person's books are kept so as to show separately the
32 gross proceeds of sales of each class, and if the books are not so kept,
33 the tax under this section applies to the gross proceeds of every sale so
34 made.

35 H. A person who engages in manufacturing, baling, crating, boxing,
36 barreling, canning, bottling, sacking, preserving, processing or otherwise
37 preparing for sale or commercial use any livestock, agricultural or
38 horticultural product or any other product, article, substance or
39 commodity and who sells the product of such business at retail in this
40 state is deemed, as to such sales, to be engaged in business classified
41 under the retail classification. This subsection does not apply to:

42 1. Agricultural producers who are owners, proprietors or tenants of
43 agricultural lands, orchards, farms or gardens where agricultural products
44 are grown, raised or prepared for market and who are marketing their own
45 agricultural products.

46 2. Businesses classified under the:

47 (a) Transporting classification.

48 (b) Utilities classification.

49 (c) Telecommunications classification.

- 1 (d) Pipeline classification.
- 2 (e) Private car line classification.
- 3 (f) Publication classification.
- 4 (g) Job printing classification.
- 5 (h) Prime contracting classification.
- 6 (i) Restaurant classification.

7 I. The gross proceeds of sales or gross income derived from the
8 following shall be deducted from the tax base for the retail
9 classification:

10 1. Sales made directly to the United States government or its
11 departments or agencies by a manufacturer, modifier, assembler or
12 repairer.

13 2. Sales made directly to a manufacturer, modifier, assembler or
14 repairer if such sales are of any ingredient or component part of products
15 sold directly to the United States government or its departments or
16 agencies by the manufacturer, modifier, assembler or repairer.

17 3. Overhead materials or other tangible personal property that is
18 used in performing a contract between the United States government and a
19 manufacturer, modifier, assembler or repairer, including property used in
20 performing a subcontract with a government contractor who is a
21 manufacturer, modifier, assembler or repairer, to which title passes to
22 the government under the terms of the contract or subcontract.

23 4. Sales of overhead materials or other tangible personal property
24 to a manufacturer, modifier, assembler or repairer if the gross proceeds
25 of sales or gross income derived from the property by the manufacturer,
26 modifier, assembler or repairer will be exempt under paragraph 3 of this
27 subsection.

28 J. There shall be deducted from the tax base fifty percent of the
29 gross proceeds or gross income from any sale of tangible personal property
30 made directly to the United States government or its departments or
31 agencies that is not deducted under subsection I of this section.

32 K. The department shall require every person claiming a deduction
33 provided by subsection I or J of this section to file on forms prescribed
34 by the department at such times as the department directs a sworn
35 statement disclosing the name of the purchaser and the exact amount of
36 sales on which the exclusion or deduction is claimed.

37 L. In computing the tax base, gross proceeds of sales or gross
38 income does not include:

39 1. A manufacturer's cash rebate on the sales price of a motor
40 vehicle if the buyer assigns the buyer's right in the rebate to the
41 retailer.

42 2. The waste tire disposal fee imposed pursuant to section 44-1302.

43 M. There shall be deducted from the tax base the amount received
44 from sales of solar energy devices. The retailer shall register with the
45 department as a solar energy retailer. By registering, the retailer
46 acknowledges that it will make its books and records relating to sales of
47 solar energy devices available to the department for examination.

1 N. In computing the tax base in the case of the sale or transfer of
2 wireless telecommunications equipment as an inducement to a customer to
3 enter into or continue a contract for telecommunications services that are
4 taxable under section 42-5064, gross proceeds of sales or gross income
5 does not include any sales commissions or other compensation received by
6 the retailer as a result of the customer entering into or continuing a
7 contract for the telecommunications services.

8 O. For the purposes of this section, a sale of wireless
9 telecommunications equipment to a person who holds the equipment for sale
10 or transfer to a customer as an inducement to enter into or continue a
11 contract for telecommunications services that are taxable under section
12 42-5064 is considered to be a sale for resale in the regular course of
13 business.

14 P. Retail sales of prepaid calling cards or prepaid authorization
15 numbers for telecommunications services, including sales of
16 reauthorization of a prepaid card or authorization number, are subject to
17 tax under this section.

18 Q. For the purposes of this section, the diversion of gas from a
19 pipeline by a person engaged in the business of:

20 1. Operating a natural or artificial gas pipeline, for the sole
21 purpose of fueling compressor equipment to pressurize the pipeline, is not
22 a sale of the gas to the operator of the pipeline.

23 2. Converting natural gas into liquefied natural gas, for the sole
24 purpose of fueling compressor equipment used in the conversion process, is
25 not a sale of gas to the operator of the compressor equipment.

26 R. For the purposes of this section, the transfer of title or
27 possession of coal from an owner or operator of a power plant to a person
28 in the business of refining coal is not a sale of coal if both of the
29 following apply:

30 1. The transfer of title or possession of the coal is for the
31 purpose of refining the coal.

32 2. The title or possession of the coal is transferred back to the
33 owner or operator of the power plant after completion of the coal refining
34 process. For the purposes of this paragraph, "coal refining process"
35 means the application of a coal additive system that aids in the reduction
36 of power plant emissions during the combustion of coal and the treatment
37 of flue gas.

38 S. If a seller is entitled to a deduction pursuant to subsection B,
39 paragraph 16, subdivision (b) of this section, the department may require
40 the purchaser to establish that the requirements of subsection B,
41 paragraph 16, subdivision (b) of this section have been satisfied. If the
42 purchaser cannot establish that the requirements of subsection B,
43 paragraph 16, subdivision (b) of this section have been satisfied, the
44 purchaser is liable in an amount equal to any tax, penalty and interest
45 that the seller would have been required to pay under article 1 of this
46 chapter if the seller had not made a deduction pursuant to subsection B,
47 paragraph 16, subdivision (b) of this section. Payment of the amount
48 under this subsection exempts the purchaser from liability for any tax
49 imposed under article 4 of this chapter and related to the tangible

1 personal property purchased. The amount shall be treated as transaction
2 privilege tax to the purchaser and as tax revenues collected from the
3 seller to designate the distribution base pursuant to section 42-5029.

4 T. For the purposes of section 42-5032.01, the department shall
5 separately account for revenues collected under the retail classification
6 from businesses selling tangible personal property at retail:

7 1. On the premises of a multipurpose facility that is owned, leased
8 or operated by the tourism and sports authority pursuant to title 5,
9 chapter 8.

10 2. At professional football contests that are held in a stadium
11 located on the campus of an institution under the jurisdiction of the
12 Arizona board of regents.

13 U. For the purposes of section 42-5032.03 and subject to section
14 48-4238, beginning October 1, 2025 and each month thereafter through
15 December 31, 2055, the department shall separately account for revenues
16 collected under the retail classification from each business selling
17 tangible personal property at retail on the premises of a major league
18 baseball facility or an adjacent building that is owned by a county
19 stadium district pursuant to title 48, chapter 26 and operated by the
20 county stadium district or the professional baseball franchise
21 organization that occupies the major league baseball facility or adjacent
22 building. For the purposes of this subsection, "adjacent building" and
23 "major league baseball facility" have the same meanings prescribed in
24 section 48-4201.

25 V. In computing the tax base for the sale of a motor vehicle to a
26 nonresident of this state, if the purchaser's state of residence allows a
27 corresponding use tax exemption to the tax imposed by article 1 of this
28 chapter and the rate of the tax in the purchaser's state of residence is
29 lower than the rate prescribed in article 1 of this chapter or if the
30 purchaser's state of residence does not impose an excise tax, and the
31 nonresident has secured a special ninety day nonresident registration
32 permit for the vehicle as prescribed by sections 28-2154 and 28-2154.01,
33 there shall be deducted from the tax base a portion of the gross proceeds
34 or gross income from the sale so that the amount of transaction privilege
35 tax that is paid in this state is equal to the excise tax that is imposed
36 by the purchaser's state of residence on the nonexempt sale or use of the
37 motor vehicle.

38 W. For the purposes of this section:

39 1. "Agricultural aircraft" means an aircraft that is built for
40 agricultural use for the aerial application of pesticides or fertilizer or
41 for aerial seeding.

42 2. "Aircraft" includes:

43 (a) An airplane flight simulator that is approved by the federal
44 aviation administration for use as a phase II or higher flight simulator
45 under appendix H, 14 Code of Federal Regulations part 121.

46 (b) Tangible personal property that is permanently affixed or
47 attached as a component part of an aircraft that is owned or operated by a
48 certificated or licensed carrier of persons or property.

1 3. "Other accessories and related equipment" includes aircraft
2 accessories and equipment such as ground service equipment that physically
3 contact aircraft at some point during the overall carrier operation.

4 4. "Selling at retail" means a sale for any purpose other than for
5 resale in the regular course of business in the form of tangible personal
6 property, but transfer of possession, lease and rental as used in the
7 definition of sale mean only such transactions as are found on
8 investigation to be in lieu of sales as defined without the words lease or
9 rental.

10 X. For the purposes of subsection I of this section:

11 1. "Assembler" means a person who unites or combines products,
12 wares or articles of manufacture so as to produce a change in form or
13 substance without changing or altering the component parts.

14 2. "Manufacturer" means a person who is principally engaged in
15 fabricating, producing or manufacturing products, wares or articles for
16 use from raw or prepared materials, imparting to those materials new
17 forms, qualities, properties and combinations.

18 3. "Modifier" means a person who reworks, changes or adds to
19 products, wares or articles of manufacture.

20 4. "Overhead materials" means tangible personal property, the gross
21 proceeds of sales or gross income derived from that would otherwise be
22 included in the retail classification, and that are used or consumed in
23 performing a contract, the cost of which is charged to an overhead expense
24 account and allocated to various contracts based on generally accepted
25 accounting principles and consistent with government contract accounting
26 standards.

27 5. "Repairer" means a person who restores or renews products, wares
28 or articles of manufacture.

29 6. "Subcontract" means an agreement between a contractor and any
30 person who is not an employee of the contractor for furnishing supplies or
31 services that, in whole or in part, are necessary to perform one or more
32 government contracts, or under which any portion of the contractor's
33 obligation under one or more government contracts is performed, undertaken
34 or assumed and that includes provisions causing title to overhead
35 materials or other tangible personal property used in performing the
36 subcontract to pass to the government or that includes provisions
37 incorporating such title passing clauses in a government contract into the
38 subcontract.

39 Sec. 2. Section 42-5159, Arizona Revised Statutes, as amended by
40 Laws 2025, chapter 135, section 2 and chapter 247, section 2, is amended
41 to read:

42 42-5159. Exemptions

43 A. The tax levied by this article does not apply to the storage,
44 use or consumption in this state of the following described tangible
45 personal property:

46 1. Tangible personal property, sold in this state, the gross
47 receipts from the sale of which are included in the measure of the tax
48 imposed by articles 1 and 2 of this chapter.

1 2. Tangible personal property, the sale or use of which has already
2 been subjected to an excise tax at a rate equal to or exceeding the tax
3 imposed by this article under the laws of another state of the United
4 States. If the excise tax imposed by the other state is at a rate less
5 than the tax imposed by this article, the tax imposed by this article is
6 reduced by the amount of the tax already imposed by the other state.

7 3. Tangible personal property, the storage, use or consumption of
8 which the constitution or laws of the United States prohibit this state
9 from taxing or to the extent that the rate or imposition of tax is
10 unconstitutional under the laws of the United States.

11 4. Tangible personal property that directly enters into and becomes
12 an ingredient or component part of any manufactured, fabricated or
13 processed article, substance or commodity for sale in the regular course
14 of business.

15 5. Motor vehicle fuel and use fuel, the sales, distribution or use
16 of which in this state is subject to the tax imposed under title 28,
17 chapter 16, article 1, use fuel that is sold to or used by a person
18 holding a valid single trip use fuel tax permit issued under section
19 28-5739, aviation fuel, the sales, distribution or use of which in this
20 state is subject to the tax imposed under section 28-8344, and jet fuel,
21 the sales, distribution or use of which in this state is subject to the
22 tax imposed under article 8 of this chapter.

23 6. Tangible personal property brought into this state by an
24 individual who was a nonresident at the time the property was purchased
25 for storage, use or consumption by the individual if the first actual use
26 or consumption of the property was outside this state, unless the property
27 is used in conducting a business in this state.

28 7. Purchases of implants used as growth promotants and injectable
29 medicines, not already exempt under paragraph 16 of this subsection, for
30 livestock and poultry owned by, or in possession of, persons who are
31 engaged in producing livestock, poultry, or livestock or poultry products,
32 or who are engaged in feeding livestock or poultry commercially. For the
33 purposes of this paragraph, "poultry" includes ratites.

34 8. Purchases of:

35 (a) Livestock and poultry to persons engaging in the businesses of
36 farming, ranching or producing livestock or poultry.

37 (b) Livestock and poultry feed, salts, vitamins and other additives
38 sold to persons for use or consumption in the businesses of farming,
39 ranching and producing or feeding livestock or poultry or for use or
40 consumption in noncommercial boarding of livestock. For the purposes of
41 this paragraph, "poultry" includes ratites.

42 9. Propagative materials for use in commercially producing
43 agricultural, horticultural, viticultural or floricultural crops in this
44 state. For the purposes of this paragraph, "propagative materials":

45 (a) Includes seeds, seedlings, roots, bulbs, liners, transplants,
46 cuttings, soil and plant additives, agricultural minerals, auxiliary soil
47 and plant substances, micronutrients, fertilizers, insecticides,
48 herbicides, fungicides, soil fumigants, desiccants, rodenticides,
49 adjuvants, plant nutrients and plant growth regulators.

1 (b) Except for use in commercially producing industrial hemp as
2 defined in section 3-311, does not include any propagative materials used
3 in producing any part, including seeds, of any plant of the genus
4 cannabis.

5 10. Tangible personal property not exceeding \$200 in any one month
6 purchased by an individual at retail outside the continental limits of the
7 United States for the individual's own personal use and enjoyment.

8 11. Advertising supplements that are intended for sale with
9 newspapers published in this state and that have already been subjected to
10 an excise tax under the laws of another state in the United States that
11 equals or exceeds the tax imposed by this article.

12 12. Materials that are purchased by or for publicly funded
13 libraries, including school district libraries, charter school libraries,
14 community college libraries, state university libraries or federal, state,
15 county or municipal libraries, for use by the public as follows:

16 (a) Printed or photographic materials, beginning August 7, 1985.

17 (b) Electronic or digital media materials, beginning July 17, 1994.

18 13. Tangible personal property purchased by:

19 (a) A hospital organized and operated exclusively for charitable
20 purposes, no part of the net earnings of which inures to the benefit of
21 any private shareholder or individual.

22 (b) A hospital operated by this state or a political subdivision of
23 this state.

24 (c) A licensed nursing care institution or a licensed residential
25 care institution or a residential care facility operated in conjunction
26 with a licensed nursing care institution or a licensed kidney dialysis
27 center, which provides medical services, nursing services or health
28 related services and is not used or held for profit.

29 (d) A qualifying health care organization, as defined in section
30 42-5001, if the tangible personal property is used by the organization
31 solely to provide health and medical related educational and charitable
32 services.

33 (e) A qualifying health care organization as defined in section
34 42-5001 if the organization is dedicated to providing educational,
35 therapeutic, rehabilitative and family medical education training for
36 blind and visually impaired children and children with multiple
37 disabilities from the time of birth to age twenty-one.

38 (f) A nonprofit charitable organization that has qualified under
39 section 501(c)(3) of the United States internal revenue code and that
40 engages in and uses such property exclusively in programs for persons with
41 mental or physical disabilities if the programs are exclusively for
42 training, job placement, rehabilitation, or testing.

43 (g) A person that is subject to tax under this chapter by reason of
44 being engaged in business classified under section 42-5075, or a
45 subcontractor working under the control of a person that is engaged in
46 business classified under section 42-5075, if the tangible personal
47 property is any of the following:

1 (i) Incorporated or fabricated by the person into a structure,
2 project, development or improvement in fulfillment of a contract.

3 (ii) Incorporated or fabricated by the person into any project
4 described in section 42-5075, subsection ~~Q~~ P.

5 (iii) Used in environmental response or remediation activities
6 under section 42-5075, subsection B, paragraph 6.

7 (h) A person that is not subject to tax under section 42-5075 and
8 that has been provided a copy of a certificate described in section
9 42-5009, subsection L, if the property purchased is incorporated or
10 fabricated by the person into the real property, structure, project,
11 development or improvement described in the certificate.

12 (i) A nonprofit charitable organization that has qualified under
13 section 501(c)(3) of the internal revenue code if the property is
14 purchased from the parent or an affiliate organization that is located
15 outside this state.

16 (j) A qualifying community health center as defined in section
17 42-5001.

18 (k) A nonprofit charitable organization that has qualified under
19 section 501(c)(3) of the internal revenue code and that regularly serves
20 meals to the needy and indigent on a continuing basis at no cost.

21 (l) A person engaged in business under the transient lodging
22 classification if the property is a personal hygiene item or articles used
23 by human beings for food, drink or condiment, except alcoholic beverages,
24 which are furnished without additional charge to and intended to be
25 consumed by the transient during the transient's occupancy.

26 (m) For taxable periods beginning from and after June 30, 2001, a
27 nonprofit charitable organization that has qualified under section
28 501(c)(3) of the internal revenue code and that provides residential
29 apartment housing for low-income persons over sixty-two years of age in a
30 facility that qualifies for a federal housing subsidy, if the tangible
31 personal property is used by the organization solely to provide
32 residential apartment housing for low-income persons over sixty-two years
33 of age in a facility that qualifies for a federal housing subsidy.

34 (n) A qualifying health sciences educational institution as defined
35 in section 42-5001.

36 (o) A person representing or working on behalf of any person
37 described in subdivision (a), (b), (c), (d), (e), (f), (i), (j), (k), (m)
38 or (n) of this paragraph, if the tangible personal property is
39 incorporated or fabricated into a project described in section 42-5075,
40 subsection ~~Q~~ P.

41 14. Commodities, as defined by title 7 United States Code
42 section 2, that are consigned for resale in a warehouse in this state in
43 or from which the commodity is deliverable on a contract for future
44 delivery subject to the rules of a commodity market regulated by the
45 United States commodity futures trading commission.

46 15. Tangible personal property sold by:

47 (a) Any nonprofit organization organized and operated exclusively
48 for charitable purposes and recognized by the United States internal
49 revenue service under section 501(c)(3) of the internal revenue code.

1 (b) A nonprofit organization that is exempt from taxation under
2 section 501(c)(3), 501(c)(4) or 501(c)(6) of the internal revenue code if
3 the organization is associated with a major league baseball team or a
4 national touring professional golfing association and no part of the
5 organization's net earnings inures to the benefit of any private
6 shareholder or individual. This subdivision does not apply to an
7 organization that is owned, managed or controlled, in whole or in part, by
8 a major league baseball team, or its owners, officers, employees or
9 agents, or by a major league baseball association or professional golfing
10 association, or its owners, officers, employees or agents, unless the
11 organization conducted or operated exhibition events in this state before
12 January 1, 2018 that were exempt from transaction privilege tax under
13 section 42-5073.

14 (c) A nonprofit organization that is exempt from taxation under
15 section 501(c)(3), 501(c)(4), 501(c)(6), 501(c)(7) or 501(c)(8) of the
16 internal revenue code if the organization sponsors or operates a rodeo
17 featuring primarily farm and ranch animals and no part of the
18 organization's net earnings inures to the benefit of any private
19 shareholder or individual.

20 16. Drugs and medical oxygen, including delivery hose, mask or
21 tent, regulator and tank, if prescribed by a member of the medical, dental
22 or veterinarian profession who is licensed by law to administer such
23 substances.

24 17. Prosthetic appliances, as defined in section 23-501, prescribed
25 or recommended by a person who is licensed, registered or otherwise
26 professionally credentialed as a physician, dentist, podiatrist,
27 chiropractor, naturopath, homeopath, nurse or optometrist.

28 18. Prescription eyeglasses and contact lenses.

29 19. Insulin, insulin syringes and glucose test strips.

30 20. Hearing aids as defined in section 36-1901.

31 21. Durable medical equipment that has a centers for medicare and
32 medicaid services common procedure code, is designated reimbursable by
33 medicare, is prescribed by a person who is licensed under title 32,
34 chapter 7, 13, 17 or 29, can withstand repeated use, is primarily and
35 customarily used to serve a medical purpose, is generally not useful to a
36 person in the absence of illness or injury and is appropriate for use in
37 the home.

38 22. Food, as provided in and subject to the conditions of article 3
39 of this chapter and sections 42-5074 and 42-6017.

40 23. Items purchased with United States department of agriculture
41 coupons issued under the supplemental nutrition assistance program
42 pursuant to the food and nutrition act of 2008 (P.L. 88-525; 78 Stat. 703;
43 7 United States Code sections 2011 through 2036b) by the United States
44 department of agriculture food and nutrition service or food instruments
45 issued under section 17 of the child nutrition act (P.L. 95-627; 92 Stat.
46 3603; P.L. 99-661, section 4302; P.L. 111-296; 42 United States Code
47 section 1786).

1 24. Food and drink provided without monetary charge by a taxpayer
2 that is subject to section 42-5074 to its employees for their own
3 consumption on the premises during the employees' hours of employment.

4 25. Tangible personal property that is used or consumed in a
5 business subject to section 42-5074 for human food, drink or condiment,
6 whether simple, mixed or compounded.

7 26. Food, drink or condiment and accessory tangible personal
8 property that are acquired for use by or provided to a school district or
9 charter school if they are to be either served or prepared and served to
10 persons for consumption on the premises of a public school in the school
11 district or on the premises of the charter school during school hours.

12 27. Lottery tickets or shares purchased pursuant to title 5,
13 chapter 5.1, article 1.

14 28. Textbooks, sold by a bookstore, that are required by any state
15 university or community college.

16 29. Magazines, other periodicals or other publications produced by
17 this state to encourage tourist travel.

18 30. Paper machine clothing, such as forming fabrics and dryer
19 felts, purchased by a paper manufacturer and directly used or consumed in
20 paper manufacturing.

21 31. Coal, petroleum, coke, natural gas, virgin fuel oil and
22 electricity purchased by a qualified environmental technology
23 manufacturer, producer or processor as defined in section 41-1514.02 and
24 directly used or consumed in generating or providing on-site power or
25 energy solely for environmental technology manufacturing, producing or
26 processing or environmental protection. This paragraph applies for twenty
27 full consecutive calendar or fiscal years from the date the first paper
28 manufacturing machine is placed in service. In the case of an
29 environmental technology manufacturer, producer or processor that does not
30 manufacture paper, the time period begins with the date the first
31 manufacturing, processing or production equipment is placed in service.

32 32. Motor vehicles that are removed from inventory by a motor
33 vehicle dealer as defined in section 28-4301 and that are provided to:

34 (a) Charitable or educational institutions that are exempt from
35 taxation under section 501(c)(3) of the internal revenue code.

36 (b) Public educational institutions.

37 (c) State universities or affiliated organizations of a state
38 university if no part of the organization's net earnings inures to the
39 benefit of any private shareholder or individual.

40 33. Natural gas or liquefied petroleum gas used to propel a motor
41 vehicle.

42 34. Machinery, equipment, technology or related supplies that are
43 only useful to assist a person with a physical disability as defined in
44 section 46-191 or a person who has a developmental disability as defined
45 in section 36-551 or has a head injury as defined in section 41-3201 to be
46 more independent and functional.

1 35. Liquid, solid or gaseous chemicals used in manufacturing,
2 processing, fabricating, mining, refining, metallurgical operations,
3 research and development and, beginning on January 1, 1999, printing, if
4 using or consuming the chemicals, alone or as part of an integrated system
5 of chemicals, involves direct contact with the materials from which the
6 product is produced for the purpose of causing or allowing a chemical or
7 physical change to occur in the materials as part of the production
8 process. This paragraph does not include chemicals that are used or
9 consumed in activities such as packaging, storage or transportation but
10 does not affect any exemption for such chemicals that is otherwise
11 provided by this section. For the purposes of this paragraph, "printing"
12 means a commercial printing operation and includes job printing,
13 engraving, embossing, copying and bookbinding.

14 36. Food, drink and condiment purchased for consumption within the
15 premises of any prison, jail or other institution under the jurisdiction
16 of the state department of corrections, the department of public safety,
17 the department of juvenile corrections or a county sheriff.

18 37. A motor vehicle and any repair and replacement parts and
19 tangible personal property becoming a part of such motor vehicle sold to a
20 motor carrier that is subject to a fee prescribed in title 28, chapter 16,
21 article 4 and that is engaged in the business of leasing or renting such a
22 property.

23 38. Tangible personal property that is or directly enters into and
24 becomes an ingredient or component part of cards used as prescription plan
25 identification cards.

26 39. Overhead materials or other tangible personal property that is
27 used in performing a contract between the United States government and a
28 manufacturer, modifier, assembler or repairer, including property used in
29 performing a subcontract with a government contractor who is a
30 manufacturer, modifier, assembler or repairer, to which title passes to
31 the government under the terms of the contract or subcontract. For the
32 purposes of this paragraph:

33 (a) "Overhead materials" means tangible personal property, the
34 gross proceeds of sales or gross income derived from which would otherwise
35 be included in the retail classification, that is used or consumed in
36 performing a contract, the cost of which is charged to an overhead expense
37 account and allocated to various contracts based on generally accepted
38 accounting principles and consistent with government contract accounting
39 standards.

40 (b) "Subcontract" means an agreement between a contractor and any
41 person who is not an employee of the contractor for furnishing of supplies
42 or services that, in whole or in part, are necessary to perform one or
43 more government contracts, or under which any portion of the contractor's
44 obligation under one or more government contracts is performed, undertaken
45 or assumed, and that includes provisions causing title to overhead
46 materials or other tangible personal property used in performing the
47 subcontract to pass to the government or that includes provisions
48 incorporating such title passing clauses in a government contract into the
49 subcontract.

1 40. Through December 31, 1994, tangible personal property sold
2 pursuant to a personal property liquidation transaction, as defined in
3 section 42-5061. From and after December 31, 1994, tangible personal
4 property sold pursuant to a personal property liquidation transaction, as
5 defined in section 42-5061, if the gross proceeds of the sales were
6 included in the measure of the tax imposed by article 1 of this chapter or
7 if the personal property liquidation was a casual activity or transaction.

8 41. Wireless telecommunications equipment that is held for sale or
9 transfer to a customer as an inducement to enter into or continue a
10 contract for telecommunications services that are taxable under section
11 42-5064.

12 42. Alternative fuel, as defined in section 1-215, purchased by a
13 used oil fuel burner who has received a permit to burn used oil or used
14 oil fuel under section 49-426 or 49-480.

15 43. Tangible personal property purchased by a commercial airline
16 and consisting of food, beverages and condiments and accessories used for
17 serving the food and beverages, if those items are to be provided without
18 additional charge to passengers for consumption in flight. For the
19 purposes of this paragraph, "commercial airline" means a person holding a
20 federal certificate of public convenience and necessity or foreign air
21 carrier permit for air transportation to transport persons, property or
22 United States mail in intrastate, interstate or foreign commerce.

23 44. Alternative fuel vehicles if the vehicle was manufactured as a
24 diesel fuel vehicle and converted to operate on alternative fuel and
25 equipment that is installed in a conventional diesel fuel motor vehicle to
26 convert the vehicle to operate on an alternative fuel, as defined in
27 section 1-215.

28 45. Gas diverted from a pipeline, by a person engaged in the
29 business of:

30 (a) Operating a natural or artificial gas pipeline, and used or
31 consumed for the sole purpose of fueling compressor equipment that
32 pressurizes the pipeline.

33 (b) Converting natural gas into liquefied natural gas, and used or
34 consumed for the sole purpose of fueling compressor equipment used in the
35 conversion process.

36 46. Tangible personal property that is excluded, exempt or
37 deductible from transaction privilege tax pursuant to section 42-5063.

38 47. Tangible personal property purchased to be incorporated or
39 installed as part of environmental response or remediation activities
40 under section 42-5075, subsection B, paragraph 6.

41 48. Tangible personal property sold by a nonprofit organization
42 that is exempt from taxation under section 501(c)(6) of the internal
43 revenue code if the organization produces, organizes or promotes cultural
44 or civic related festivals or events and no part of the organization's net
45 earnings inures to the benefit of any private shareholder or individual.

46 49. Prepared food, drink or condiment donated by a restaurant as
47 classified in section 42-5074, subsection A to a nonprofit charitable
48 organization that has qualified under section 501(c)(3) of the internal

1 revenue code and that regularly serves meals to the needy and indigent on
2 a continuing basis at no cost.

3 50. Application services that are designed to assess or test
4 student learning or to promote curriculum design or enhancement purchased
5 by or for any school district, charter school, community college or state
6 university. For the purposes of this paragraph:

7 (a) "Application services" means software applications provided
8 remotely using hypertext transfer protocol or another network protocol.

9 (b) "Curriculum design or enhancement" means planning, implementing
10 or reporting on courses of study, lessons, assignments or other learning
11 activities.

12 51. Motor vehicle fuel and use fuel to a qualified business under
13 section 41-1516 for off-road use in harvesting, processing or transporting
14 qualifying forest products removed from qualifying projects as defined in
15 section 41-1516.

16 52. Repair parts installed in equipment used directly by a
17 qualified business under section 41-1516 in harvesting, processing or
18 transporting qualifying forest products removed from qualifying projects
19 as defined in section 41-1516.

20 53. Renewable energy credits or any other unit created to track
21 energy derived from renewable energy resources. For the purposes of this
22 paragraph, "renewable energy credit" means a unit created administratively
23 by the corporation commission or governing body of a public power entity
24 to track kilowatt hours of electricity derived from a renewable energy
25 resource or the kilowatt hour equivalent of conventional energy resources
26 displaced by distributed renewable energy resources.

27 54. Coal acquired from an owner or operator of a power plant by a
28 person that is responsible for refining coal if both of the following
29 apply:

30 (a) The transfer of title or possession of the coal is for the
31 purpose of refining the coal.

32 (b) The title or possession of the coal is transferred back to the
33 owner or operator of the power plant after completion of the coal refining
34 process. For the purposes of this subdivision, "coal refining process"
35 means the application of a coal additive system that aids the reduction of
36 power plant emissions during the combustion of coal and the treatment of
37 flue gas.

38 55. Tangible personal property incorporated or fabricated into a
39 project described in section 42-5075, subsection ~~Ⓟ~~ P, that is located
40 within the exterior boundaries of an Indian reservation for which the
41 owner, as defined in section 42-5075, of the project is an Indian tribe or
42 an affiliated Indian. For the purposes of this paragraph:

43 (a) "Affiliated Indian" means an individual Native American Indian
44 who is duly registered on the tribal rolls of the Indian tribe for whose
45 benefit the Indian reservation was established.

1 (b) "Indian reservation" means all lands that are within the limits
2 of areas set aside by the United States for the exclusive use and
3 occupancy of an Indian tribe by treaty, law or executive order and that
4 are recognized as Indian reservations by the United States department of
5 the interior.

6 (c) "Indian tribe" means any organized nation, tribe, band or
7 community that is recognized as an Indian tribe by the United States
8 department of the interior and includes any entity formed under the laws
9 of the Indian tribe.

10 56. Cash equivalents, precious metal bullion and monetized bullion
11 purchased by the ultimate consumer, but coins or other forms of money for
12 manufacture into jewelry or works of art are subject to tax, and tangible
13 personal property that is purchased through the redemption of any cash
14 equivalent by the holder as a means of payment for goods that are subject
15 to tax under this article is subject to tax. For the purposes of this
16 paragraph:

17 (a) "Cash equivalents" means items, whether or not negotiable, that
18 are sold to one or more persons, through which a value denominated in
19 money is purchased in advance and that may be redeemed in full or in part
20 for tangible personal property, intangibles or services. Cash equivalents
21 include gift cards, stored value cards, gift certificates, vouchers,
22 traveler's checks, money orders or other tangible instruments or orders.
23 Cash equivalents do not include either of the following:

24 (i) Items that are sold to one or more persons and through which a
25 value is not denominated in money.

26 (ii) Prepaid calling cards for telecommunications services.

27 (b) "Monetized bullion" means coins and other forms of money that
28 are manufactured from gold, silver or other metals and that have been or
29 are used as a medium of exchange in this or another state, the United
30 States or a foreign nation.

31 (c) "Precious metal bullion" means precious metal, including gold,
32 silver, platinum, rhodium and palladium, that has been smelted or refined
33 so that its value depends on its contents and not on its form.

34 B. In addition to the exemptions allowed by subsection A of this
35 section, the following categories of tangible personal property are also
36 exempt:

37 1. Machinery, or equipment, used directly in manufacturing,
38 processing, fabricating, job printing, refining or metallurgical
39 operations. The terms "manufacturing", "processing", "fabricating", "job
40 printing", "refining" and "metallurgical" as used in this paragraph refer
41 to and include those operations commonly understood within their ordinary
42 meaning. "Metallurgical operations" includes leaching, milling,
43 precipitating, smelting and refining.

44 2. Machinery, or equipment, used directly in the process of
45 extracting ores or minerals from the earth for commercial purposes,
46 including equipment required to prepare the materials for extraction and
47 handling, loading or transporting such extracted material to the surface.
48 "Mining" includes underground, surface and open pit operations for
49 extracting ores and minerals.

1 3. Tangible personal property sold to persons engaged in business
2 classified under the telecommunications classification under section
3 42-5064, including a person representing or working on behalf of such a
4 person in a manner described in section 42-5075, subsection ~~⊕~~ P, and
5 consisting of central office switching equipment, switchboards, private
6 branch exchange equipment, microwave radio equipment and carrier equipment
7 including optical fiber, coaxial cable and other transmission media that
8 are components of carrier systems.

9 4. Machinery, equipment or transmission lines used directly in
10 producing or transmitting electrical power, but not including
11 distribution. Transformers and control equipment used at transmission
12 substation sites constitute equipment used in producing or transmitting
13 electrical power.

14 5. Machinery and equipment used directly for energy storage for
15 later electrical use. For the purposes of this paragraph:

16 (a) "Electric utility scale" means a person that is engaged in a
17 business activity described in section 42-5063, subsection A or such
18 person's equipment or wholesale electricity suppliers.

19 (b) "Energy storage" means commercially available technology for
20 electric utility scale that is capable of absorbing energy, storing energy
21 for a period of time and thereafter dispatching the energy and that uses
22 mechanical, chemical or thermal processes to store energy.

23 (c) "Machinery and equipment used directly" means all machinery and
24 equipment that are used for electric energy storage from the point of
25 receipt of such energy in order to facilitate storage of the electric
26 energy to the point where the electric energy is released.

27 6. Neat animals, horses, asses, sheep, ratites, swine or goats used
28 or to be used as breeding or production stock, including sales of
29 breedings or ownership shares in such animals used for breeding or
30 production.

31 7. Pipes or valves four inches in diameter or larger used to
32 transport oil, natural gas, artificial gas, water, wastewater or coal
33 slurry, including compressor units, regulators, machinery and equipment,
34 fittings, seals and any other part that is used in operating the pipes or
35 valves.

36 8. Aircraft, navigational and communication instruments and other
37 accessories and related equipment sold to:

38 (a) A person:

39 (i) Holding, or exempted by federal law from obtaining, a federal
40 certificate of public convenience and necessity for use as, in conjunction
41 with or becoming part of an aircraft to be used to transport persons for
42 hire in intrastate, interstate or foreign commerce.

43 (ii) That is certificated or licensed under federal aviation
44 administration regulations (14 Code of Federal Regulations part 121 or
45 135) as a scheduled or unscheduled carrier of persons for hire for use as
46 or in conjunction with or becoming part of an aircraft to be used to
47 transport persons for hire in intrastate, interstate or foreign commerce.

1 (iii) Holding a foreign air carrier permit for air transportation
2 for use as or in conjunction with or becoming a part of aircraft to be
3 used to transport persons, property or United States mail in intrastate,
4 interstate or foreign commerce.

5 (iv) Operating an aircraft to transport persons in any manner for
6 compensation or hire, or for use in a fractional ownership program that
7 meets the requirements of federal aviation administration regulations (14
8 Code of Federal Regulations part 91, subpart K), including as an air
9 carrier, a foreign air carrier or a commercial operator or under a
10 restricted category, within the meaning of 14 Code of Federal Regulations,
11 regardless of whether the operation or aircraft is regulated or certified
12 under part 91, 119, 121, 133, 135, 136 or 137, or another part of 14 Code
13 of Federal Regulations.

14 (v) That will lease or otherwise transfer operational control,
15 within the meaning of federal aviation administration operations
16 specification A008, or its successor, of the aircraft, instruments or
17 accessories to one or more persons described in item (i), (ii), (iii) or
18 (iv) of this subdivision, subject to section 42-5009, subsection Q.

19 (b) Any foreign government.

20 (c) Persons who are not residents of this state and who will not
21 use such property in this state other than in removing such property from
22 this state. This subdivision also applies to corporations that are not
23 incorporated in this state, regardless of maintaining a place of business
24 in this state, if the principal corporate office is located outside this
25 state and the property will not be used in this state other than in
26 removing the property from this state.

27 (d) PERSONS THAT WILL USE THE PROPERTY FOR MAINTAINING, REPAIRING
28 OR OVERHAULING GENERAL AVIATION AIRCRAFT.

29 9. Machinery, tools, equipment and related supplies used or
30 consumed directly in repairing, remodeling or maintaining aircraft,
31 aircraft engines or aircraft component parts ~~by or on behalf of a~~
32 ~~certificated or licensed carrier of persons or property.~~

33 10. Rolling stock, rails, ties and signal control equipment used
34 directly to transport persons or property.

35 11. Machinery or equipment used directly to drill for oil or gas or
36 used directly in the process of extracting oil or gas from the earth for
37 commercial purposes.

38 12. Buses or other urban mass transit vehicles that are used
39 directly to transport persons or property for hire or pursuant to a
40 governmentally adopted and controlled urban mass transportation program
41 and that are sold to bus companies holding a federal certificate of
42 convenience and necessity or operated by any city, town or other
43 governmental entity or by any person contracting with such governmental
44 entity as part of a governmentally adopted and controlled program to
45 provide urban mass transportation.

46 13. Groundwater measuring devices required under section 45-604.

1 14. Machinery and equipment consisting of agricultural aircraft,
2 tractors, off-highway vehicles, tractor-drawn implements, self-powered
3 implements, machinery and equipment necessary for extracting milk, and
4 machinery and equipment necessary for cooling milk and livestock, and drip
5 irrigation lines not already exempt under paragraph 7 of this subsection
6 and that are used for commercially producing agricultural, horticultural,
7 viticultural and floricultural crops and products in this state. For the
8 purposes of this paragraph:

9 (a) "Off-highway vehicles" means off-highway vehicles as defined in
10 section 28-1171 that are modified at the time of sale to function as a
11 tractor or to tow tractor-drawn implements and that are not equipped with
12 a modified exhaust system to increase horsepower or speed or an engine
13 that is more than one thousand cubic centimeters or that have a maximum
14 speed of fifty miles per hour or less.

15 (b) "Self-powered implements" includes machinery and equipment that
16 are electric-powered.

17 15. Machinery or equipment used in research and development. For
18 the purposes of this paragraph, "research and development" means basic and
19 applied research in the sciences and engineering, and designing,
20 developing or testing prototypes, processes or new products, including
21 research and development of computer software that is embedded in or an
22 integral part of the prototype or new product or that is required for
23 machinery or equipment otherwise exempt under this section to function
24 effectively. Research and development do not include manufacturing
25 quality control, routine consumer product testing, market research, sales
26 promotion, sales service, research in social sciences or psychology,
27 computer software research that is not included in the definition of
28 research and development, or other nontechnological activities or
29 technical services.

30 16. Tangible personal property that is used by either of the
31 following to receive, store, convert, produce, generate, decode, encode,
32 control or transmit telecommunications information:

33 (a) Any direct broadcast satellite television or data transmission
34 service that operates pursuant to 47 Code of Federal Regulations part 25.

35 (b) Any satellite television or data transmission facility, if both
36 of the following conditions are met:

37 (i) Over two-thirds of the transmissions, measured in megabytes,
38 transmitted by the facility during the test period were transmitted to or
39 on behalf of one or more direct broadcast satellite television or data
40 transmission services that operate pursuant to 47 Code of Federal
41 Regulations part 25.

42 (ii) Over two-thirds of the transmissions, measured in megabytes,
43 transmitted by or on behalf of those direct broadcast television or data
44 transmission services during the test period were transmitted by the
45 facility to or on behalf of those services.

46 For the purposes of subdivision (b) of this paragraph, "test period" means
47 the three hundred sixty-five day period beginning on the later of the date
48 on which the tangible personal property is purchased or the date on which

1 the direct broadcast satellite television or data transmission service
2 first transmits information to its customers.

3 17. Clean rooms that are used for manufacturing, processing,
4 fabrication or research and development, as defined in paragraph 15 of
5 this subsection, of semiconductor products. For the purposes of this
6 paragraph, "clean room" means all property that comprises or creates an
7 environment where humidity, temperature, particulate matter and
8 contamination are precisely controlled within specified parameters,
9 without regard to whether the property is actually contained within that
10 environment or whether any of the property is affixed to or incorporated
11 into real property. Clean room:

12 (a) Includes the integrated systems, fixtures, piping, movable
13 partitions, lighting and all property that is necessary or adapted to
14 reduce contamination or to control airflow, temperature, humidity,
15 chemical purity or other environmental conditions or manufacturing
16 tolerances, as well as the production machinery and equipment operating in
17 conjunction with the clean room environment.

18 (b) Does not include the building or other permanent, nonremovable
19 component of the building that houses the clean room environment.

20 18. Machinery and equipment that are used directly in feeding
21 poultry, environmentally controlling housing for poultry, moving eggs
22 within a production and packaging facility or sorting or cooling eggs.
23 This exemption does not apply to vehicles used for transporting eggs.

24 19. Machinery or equipment, including related structural components
25 and containment structures, that is employed in connection with
26 manufacturing, processing, fabricating, job printing, refining, mining,
27 natural gas pipelines, metallurgical operations, telecommunications,
28 producing or transmitting electricity or research and development and that
29 is used directly to meet or exceed rules or regulations adopted by the
30 federal energy regulatory commission, the United States environmental
31 protection agency, the United States nuclear regulatory commission, the
32 Arizona department of environmental quality or a political subdivision of
33 this state to prevent, monitor, control or reduce land, water or air
34 pollution. For the purposes of this paragraph, "containment structure"
35 means a structure that prevents, monitors, controls or reduces noxious or
36 harmful discharge into the environment.

37 20. Machinery and equipment that are used in commercially producing
38 livestock, livestock products or agricultural, horticultural, viticultural
39 or floricultural crops or products in this state, including production by
40 a person representing or working on behalf of such a person in a manner
41 described in section 42-5075, subsection ~~Q~~ P, if the machinery and
42 equipment are used directly and primarily to prevent, monitor, control or
43 reduce air, water or land pollution.

44 21. Machinery or equipment that enables a television station to
45 originate and broadcast or to receive and broadcast digital television
46 signals and that was purchased to facilitate compliance with the
47 telecommunications act of 1996 (P.L. 104-104; 110 Stat. 56; 47 United
48 States Code section 336) and the federal communications commission order

1 issued April 21, 1997 (47 Code of Federal Regulations part 73). This
2 paragraph does not exempt any of the following:

3 (a) Repair or replacement parts purchased for the machinery or
4 equipment described in this paragraph.

5 (b) Machinery or equipment purchased to replace machinery or
6 equipment for which an exemption was previously claimed and taken under
7 this paragraph.

8 (c) Any machinery or equipment purchased after the television
9 station has ceased analog broadcasting, or purchased after November 1,
10 2009, whichever occurs first.

11 22. Qualifying equipment that is purchased from and after June 30,
12 2004 through December 31, 2028 by a qualified business under section
13 41-1516 for harvesting or processing qualifying forest products removed
14 from qualifying projects as defined in section 41-1516. To qualify for
15 this exemption, the qualified business must obtain and present its
16 certification from the Arizona commerce authority at the time of purchase.

17 23. Machinery, equipment, materials and other tangible personal
18 property used directly and predominantly to construct a qualified
19 environmental technology manufacturing, producing or processing facility
20 as described in section 41-1514.02. This paragraph applies for ten full
21 consecutive calendar or fiscal years after the start of initial
22 construction.

23 24. Computer data center equipment sold to the owner, operator or
24 qualified colocation tenant of a computer data center that is certified by
25 the Arizona commerce authority under section 41-1519 or an authorized
26 agent of the owner, operator or qualified colocation tenant during the
27 qualification period for use in the qualified computer data center. For
28 the purposes of this paragraph, "computer data center", "computer data
29 center equipment", "qualification period" and "qualified colocation
30 tenant" have the same meanings prescribed in section 41-1519.

31 C. The exemptions provided by subsection B of this section do not
32 include:

33 1. Expendable materials. For the purposes of this paragraph,
34 expendable materials do not include any of the categories of tangible
35 personal property specified in subsection B of this section regardless of
36 the cost or useful life of that property.

37 2. Janitorial equipment and hand tools.

38 3. Office equipment, furniture and supplies.

39 4. Tangible personal property used in selling or distributing
40 activities, other than the telecommunications transmissions described in
41 subsection B, paragraph 16 of this section.

42 5. Motor vehicles required to be licensed by this state, except
43 buses or other urban mass transit vehicles specifically exempted pursuant
44 to subsection B, paragraph 12 of this section, without regard to the use
45 of such motor vehicles.

46 6. Shops, buildings, docks, depots and all other materials of
47 whatever kind or character not specifically included as exempt.

48 7. Motors and pumps used in drip irrigation systems.

1 8. Machinery and equipment or tangible personal property used by a
2 contractor in performing a contract.

3 D. The following shall be deducted in computing the purchase price
4 of electricity by a retail electric customer from a utility business:

5 1. Revenues received from sales of ancillary services, electric
6 distribution services, electric generation services, electric transmission
7 services and other services related to providing electricity to a retail
8 electric customer who is located outside this state for use outside this
9 state if the electricity is delivered to a point of sale outside this
10 state.

11 2. Revenues received from providing electricity, including
12 ancillary services, electric distribution services, electric generation
13 services, electric transmission services and other services related to
14 providing electricity with respect to which the transaction privilege tax
15 imposed under section 42-5063 has been paid.

16 E. The tax levied by this article does not apply to the purchase of
17 solar energy devices from a retailer that is registered with the
18 department as a solar energy retailer or a solar energy contractor.

19 F. The following shall be deducted in computing the purchase price
20 of electricity by a retail electric customer from a utility business:

21 1. Fees charged by a municipally owned utility to persons
22 constructing residential, commercial or industrial developments or
23 connecting residential, commercial or industrial developments to a
24 municipal utility system or systems if the fees are segregated and used
25 only for capital expansion, system enlargement or debt service of the
26 utility system or systems.

27 2. Reimbursement or contribution compensation to any person or
28 persons owning a utility system for property and equipment installed to
29 provide utility access to, on or across the land of an actual utility
30 consumer if the property and equipment become the property of the utility.
31 This deduction shall not exceed the value of such property and equipment.

32 G. The tax levied by this article does not apply to the purchase
33 price of electricity, natural gas or liquefied petroleum gas by:

34 1. A qualified manufacturing or smelting business. A utility that
35 claims this deduction shall report each month, on a form prescribed by the
36 department, the name and address of each qualified manufacturing or
37 smelting business for which this deduction is taken. This paragraph
38 applies to gas transportation services. For the purposes of this
39 paragraph:

40 (a) "Gas transportation services" means the services of
41 transporting natural gas to a natural gas customer or to a natural gas
42 distribution facility if the natural gas was purchased from a supplier
43 other than the utility.

44 (b) "Manufacturing" means the performance as a business of an
45 integrated series of operations that places tangible personal property in
46 a form, composition or character different from that in which it was
47 acquired and transforms it into a different product with a distinctive
48 name, character or use. Manufacturing does not include job printing,

1 publishing, packaging, mining, generating electricity or operating a
2 restaurant.

3 (c) "Qualified manufacturing or smelting business" means one of the
4 following:

5 (i) A business that manufactures or smelts tangible products in
6 this state, of which at least fifty-one percent of the manufactured or
7 smelted products will be exported out of state for incorporation into
8 another product or sold out of state for a final sale.

9 (ii) A business that derives at least fifty-one percent of its
10 gross income from the sale of manufactured or smelted products
11 manufactured or smelted by the business.

12 (iii) A business that uses at least fifty-one percent of its square
13 footage in this state for manufacturing or smelting and business
14 activities directly related to manufacturing or smelting.

15 (iv) A business that employs at least fifty-one percent of its
16 workforce in this state in manufacturing or smelting and business
17 activities directly related to manufacturing or smelting.

18 (v) A business that uses at least fifty-one percent of the value of
19 its capitalized assets in this state, as reflected on the business's books
20 and records, for manufacturing or smelting and business activities
21 directly related to manufacturing or smelting.

22 (d) "Smelting" means to melt or fuse a metalliferous mineral, often
23 with an accompanying chemical change, usually to separate the metal.

24 2. A business that operates an international operations center in
25 this state and that is certified by the Arizona commerce authority
26 pursuant to section 41-1520.

27 H. A city or town may exempt proceeds from sales of paintings,
28 sculptures or similar works of fine art if such works of fine art are sold
29 by the original artist. For the purposes of this subsection, fine art
30 does not include an art creation such as jewelry, macrame, glasswork,
31 pottery, woodwork, metalwork, furniture or clothing if the art creation
32 has a dual purpose, both aesthetic and utilitarian, whether sold by the
33 artist or by another person.

34 I. For the purposes of subsection B of this section:

35 1. "Agricultural aircraft" means an aircraft that is built for
36 agricultural use for the aerial application of pesticides or fertilizer or
37 for aerial seeding.

38 2. "Aircraft" includes:

39 (a) An airplane flight simulator that is approved by the federal
40 aviation administration for use as a phase II or higher flight simulator
41 under appendix H, 14 Code of Federal Regulations part 121.

42 (b) Tangible personal property that is permanently affixed or
43 attached as a component part of an aircraft that is owned or operated by a
44 certificated or licensed carrier of persons or property.

45 3. "Other accessories and related equipment" includes aircraft
46 accessories and equipment such as ground service equipment that physically
47 contact aircraft at some point during the overall carrier operation.

1 J. For the purposes of subsection D of this section, "ancillary
2 services", "electric distribution service", "electric generation service",
3 "electric transmission service" and "other services" have the same
4 meanings prescribed in section 42-5063.

5 Sec. 3. Repeal

6 Section 42-5159, Arizona Revised Statutes, as amended by Laws 2025,
7 chapter 251, section 13, is repealed.

8 Sec. 4. Applicability

9 This act applies to taxable periods beginning on or after the first
10 day of the month following the general effective date."

11 Amend title to conform

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